likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with generally accepted auditing standards and *Government Auditing Standards*, we, exercised professional judgment and maintained professional skepticism throughout the audit, identified and assessed the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements, obtained an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed, evaluated the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements, and concluded whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying nonmajor governmental fund combining statements and statement of general fund departmental revenue and expenditures are presented for the purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information described in the second sentence of this paragraph is fairly stated, in all material aspects, in relation to the financial statements as a whole.

Other Information

Management is responsible for the other information included in the financial statements. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated February 3, 2026, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Ortmeier CPA PC

Ortmeier CPA, PC
Fremont, Nebraska
February 3, 2026

CITY OF LYONS, NEBRASKA
STATEMENT OF NET POSITION

SEPTEMBER 30, 2025

	Primary Government		
	Governmental Activities	Business-type Activities	Total
ASSETS:			
Cash in bank - unrestricted	$ 299,666	$ 557,014	$ 856,680
Cash in bank - restricted	149,618	62,136	211,754
Cash with county treasurer	16,211	-	16,211
Investments	201,720	1,140,303	1,342,023
Accounts receivable	-	77,359	77,359
Inventories	-	141,364	141,364
Capital assets, net	-	3,150,645	3,150,645
Total Assets	667,215	5,128,822	5,796,036
LIABILITIES:			
Accounts payable	-	81,201	81,201
Accrued expenses	-	7,836	7,836
Customer deposits	-	41,205	41,205
Notes payable	-	1,058,172	1,058,172
Bonds payable	-	205,000	205,000
Total Liabilities	-	1,393,414	1,393,414
NET POSITION:			
Contributed capital	201,720	-	201,720
Net investment in capital assets	-	1,887,474	1,887,474
Restricted	189,078	62,136	251,215
Unrestricted	276,414	1,785,799	2,062,213
Net Position	$ 667,214	$ 3,735,409	$ 4,402,621

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF ACTIVITIES

FOR THE YEAR ENDED SEPTEMBER 30, 2025

FUNCTIONS/PROGRAMS	Disbursements	Charges for Services	Operating Grants and Contributions	Net (Disbursements) Receipts and Changes in Net Position: Governmental Activities	Net (Disbursements) Receipts and Changes in Net Position: Business-type Activities	Eliminations	Total
Primary Government							
Governmental activities:							
General government	$ 130,372	-	-	$ (130,372)			$ (130,372)
Streets	185,327	-	$ 143,099	(42,228)			(42,228)
Public safety	235,848	$ 3,760	-	(232,087)			(232,087)
Culture and recreation	370,475	47,094	47,252	(276,129)			(276,129)
Public buildings	20,050	5,400	-	(14,650)			(14,650)
Debt service	141,878	-	-	(141,878)			(141,878)
Total governmental activities	1,083,951	56,254	190,352	(837,345)			(837,345)
Business-type activities:							
Electric fund	902,967	865,077	-		$ (37,890)		(37,890)
Natural gas fund	499,782	397,374	-		(102,407)		(102,407)
Water fund	371,404	286,809	-		(84,595)		(84,595)
Sewer fund	186,133	156,303	-		(29,830)		(29,830)
Garbage fund	110,408	132,030	-		21,621		21,621
Total business-type activities	2,070,694	1,837,593	-		(233,101)	-	(233,101)
General receipts/revenues:							
Property taxes				367,159	-		367,159
Sales tax				240,370	-		240,370
Intergovernmental				97,231	-		97,231
License, fees and permits				10,888	-		10,888
Interest and dividends				2,567	56,383		58,950
Unrealized gain (loss) on investment				(7,275)	-		(7,275)
Transfers from other funds				105,128	(105,128)		0
Other miscellaneous				41,952	15,186		57,138
Total General Revenues and Transfers				858,018	(33,558)	-	824,460
Changes in Net Position				20,674	(266,659)	-	(245,986)
Net Position - Beginning of Year				646,539	4,002,068		4,648,607
Net Position - End of Year				$ 667,214	$ 3,735,409		$ 4,402,621

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF ASSETS AND FUND BALANCE - CASH BASIS
GOVERNMENTAL FUND

SEPTEMBER 30, 2025

	General Fund	Bond Fund	Total
ASSETS:			
Cash in bank	$ 299,666	$ 149,618	$ 449,284
Cash with county treasurer	10,674	5,537	16,211
Investments	201,720	-	201,720
Total Assets	$ 512,060	$ 155,155	$ 667,215
FUND BALANCE:			
Contributed capital	201,720	-	201,720
Restricted	$ 33,924	155,154	189,078
Unassigned	276,414	-	276,414
Total Fund Balance	512,058	155,154	667,213
Total Fund Balance and Liabilities	$ 512,058	$ 155,154	$ 667,213

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS
GOVERNMENTAL FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	General Fund	Bond Fund	Total
RECEIPTS:			
Property taxes	$ 227,765	$ 139,395	$ 367,159
Sales tax	240,370	-	240,370
Intergovernmental	240,530	-	240,530
Charges for services	50,854	-	50,854
Licenses, fees and permits	10,888	-	10,888
Rental income	5,400	-	5,400
Interest/dividends	1,492	1,075	2,567
Other miscellaneous	41,952	-	41,952
Total receipts	819,250	140,470	959,719
DISBURSEMENTS:			
General government	130,372	-	130,372
Streets	185,327	-	185,327
Public safety	235,848	-	235,848
Culture and recreation	370,475	-	370,475
Public buildings	20,050	-	20,050
Debt service	-	141,878	141,878
Total expenditures	942,073	141,878	1,083,951
Excess of receipts over (under) disbursements	(122,824)	(1,408)	(124,231)
OTHER FINANCING SOURCES (USES):			
Grants and donations	47,052	-	47,052
Transfers to other funds	105,128	-	105,128
Net Change in Fund Balance Before Extraordinary Item	29,356	(1,408)	27,949
Gain (Loss) on Investment (Unrealized)	(7,275)	-	(7,275)
Net Change in Fund Balance	22,081	(1,408)	20,674
Fund Balance - Beginning of Year	489,977	156,562	646,539
Fund Balance - End of Year	$ 512,058	$ 155,154	$ 667,213

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF NET POSITION
PROPRIETARY FUND

SEPTEMBER 30, 2025

	Combined Utilities Fund
ASSETS:	
Current Assets:	
Cash	$ 557,014
Cash-restricted	62,136
Certificates of deposit	1,140,303
Accounts receivable	77,359
Inventories	141,364
Total current assets	1,978,176
Capital assets:	
Land	11,451
Plant and distribution systems	7,773,877
Less accumulated depreciation	(4,634,683)
Capital assets, net	3,150,645
Total Assets	$ 5,128,822
LIABILITIES:	
Current Liabilities:	
Accounts payable	$ 81,201
Accrued interest payable	715
Sales tax payable	7,121
Customer deposits	41,205
Note payable-USDA	1,058,172
Bonds payable-current portion	55,000
Total current liabilities	1,243,414
Long-Term Liabilities:	
Bonds payable - net of current portion	150,000
Total long-term liabilities	150,000
Total Liabilities	1,393,414
NET POSITION:	
Net investment in capital assets	1,887,474
Restricted	62,136
Unrestricted	1,785,799
Net Position	3,735,409
Total Liabilities and Net Position	$ 5,128,822

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF REVENUE, EXPENSES AND CHANGE IN NET POSITION
PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

Operating revenue:	
Consumer sales	$ 1,837,593
Other miscellaneous	15,186
Total operating revenues	1,852,779
Production, operation and maintenance costs:	
Production costs	890,681
Machinery and plant maintenance	47,535
Utilities	57,517
Purification testing and chemicals	15,195
Contracted services	110,408
Total production, operation and maintenance costs	1,121,336
Distribution costs:	
Labor	338,819
Line and maintenance	13,792
Total distribution costs	352,611
General and administrative expenses:	
Professional fees	13,902
Vehicle expense	13,882
Deferred compensation	30,611
Insurance - general	57,019
Insurance - group	117,124
Miscellaneous	65,781
Contracted services	5,338
Supplies - plant	20,362
Supplies - office	10,030
Payroll taxes	24,625
Telephone	5,224
Total general and administrative expenses	363,898
Total costs (continued on next page)	1,837,845

CITY OF LYONS, NEBRASKA
STATEMENT OF REVENUE, EXPENSES AND CHANGE IN NET POSITION (CONTINUED)
PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

Total costs (continued from previous page)	1,837,845
Operating income before depreciation	14,934
Depreciation	(213,579)
Operating income	(198,645)
Non-operating income (expense):	
Interest income	56,383
Transfer to other funds	(105,128)
Interest expense and loan fees	(19,270)
Net non-operating income (expense)	(68,014)
Change in Net Position	(266,659)
Net Position - Beginning of Year	4,002,068
Net Position - End of Year	$ 3,735,409

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
STATEMENT OF CASH FLOWS
PROPRIETARY FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Combined Utilities Fund
Cash flows from operating activities:	
Net operating income	$ (198,645)
Adjustments to reconcile net operating income to net cash:	
Depreciation	213,579
Changes in assets and liabilities:	
(In)decrease in accounts receivable	94,255
(In)decrease in inventory	(48,614)
In(de)crease in accounts payable	(2,564)
In(de)crease in interest payable	(143)
In(de)crease in other accrued expenses	(2,350)
In(de)crease in customer deposits	(4,717)
Net cash from operating activities	50,801
Cash flows from capital and related financing sources:	
Capital purchases, net of disposals	(15,300)
Debt services principal	(71,065)
Interest payments on bonds and loans	(19,270)
Net cash from capital financing sources	(105,635)
Cash flows from investing activities:	
Interest income	56,383
Net cash from investing activities	56,383
Transfers to other funds	(105,128)
Net Change in Cash and Equivalents	(103,579)
Cash and Equivalents - Beginning of Year	1,863,032
Cash and Equivalents - End of Year	$ 1,759,453

See Notes to Financial Statements

CITY OF LYONS, NEBRASKA
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS - BUDGET AND ACTUAL
GENERAL FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Budget (Final)	Actual
RECEIPTS:		
Taxes:		
Property and county taxes	$ 206,068	$ 227,765
City sales tax	260,000	240,370
Intergovernmental:		
Highway allocation/ MV fees	136,822	142,099
Incentive payment	1,000	1,000
State aid	200	200
Municipal equalization	96,129	97,231
Charges for services	39,800	50,854
Licenses, fees and permits	3,525	10,888
Rental income	10,100	5,400
Interest	350	1,492
Other miscellaneous	24,200	41,952
Total receipts	778,194	819,250
DISBURSEMENTS:		
General government	164,390	130,372
Streets	210,874	185,327
Public health and safety	312,024	235,848
Cultural, recreation and public buildings	926,003	370,475
Public works - other	18,814	20,050
Total disbursements	1,632,105	942,073
Excess of receipts over (under) disbursements	(853,911)	(122,824)
OTHER FINANCING SOURCES (USES):		
Grants	472,560	47,052
Transfers from other funds	170,000	105,128
Total other financing sources	642,560	152,180
Net Change in Fund Balance Before Extraordinary Item	$ (211,351)	29,356
Unrealized Gain (Loss) on Investment		(7,275)
Net Change in Fund Balance		22,081
Fund Balance - Beginning of Year		489,977
Fund Balance - End of Year		$ 512,058

See Notes to Supplementary Information

CITY OF LYONS, NEBRASKA
SCHEDULE OF RECEIPTS, DISBURSEMENTS AND CHANGE IN FUND BALANCE - CASH BASIS - BUDGET AND ACTUAL
BOND FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Budget (Original)	Actual
RECEIPTS:		
Property tax	$ 141,878	$ 139,395
Interest	600	1,075
Total receipts	142,478	140,470
DISBURSEMENTS:		
Debt service - principal	110,000	110,000
Debt service - interest	31,878	31,878
Total disbursements	141,878	141,878
Net Change in Fund Balance	$ 600	(1,408)
Fund Balance - Beginning of Year		156,562
Fund Balance - End of Year		$ 155,154

CITY OF LYONS, NEBRASKA
STATEMENT OF REVENUES, EXPENDITURES AND CHANGE IN NET POSITION - BUDGET AND ACTUAL (BUDGETARY BASIS)
PROPRIETARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Budget (Final)	Actual (Budgetary Basis)
REVENUES:		
Consumer sales	$ 1,860,000	$ 1,931,847
Miscellaneous revenue	7,500	15,186
Total revenues	1,867,500	1,947,033
EXPENDITURES:		
Operating expenditures	1,684,167	1,896,090
Capital purchases	55,000	15,300
Total expenditures	1,739,167	1,911,390
Excess of revenues over expenditures	128,333	35,643
OTHER SOURCES (USES) OF FUNDS:		
Interest income	50,000	56,383
Transfers from other funds	(170,000)	(105,128)
Debt service prinipal	(71,051)	(71,065)
Debt service interest and fees	(19,025)	(19,412)
Total other sources and uses of funds	(210,076)	(139,222)
Change in Net Position	$ (81,743)	$ (103,579)

See Notes to Supplementary Information

CITY OF LYONS, NEBRASKA
COMBINING SCHEDULE OF RECEIPTS, DISBURSEMENTS, AND CHANGES IN FUND BALANCE - CASH BASIS
GOVERNMENTAL FUND

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	General	Police	Recycling	Land-fill	Streets	Muni-cipal Building	Parks	Pool	Library	Total
RECEIPTS:										
Property taxes	$ 226,265	-	-	-	-	-	-	-	$ 1,500	$ 227,765
Sales tax	239,004	-	-	-	-	-	-	$ 1,366	-	240,370
Intergovernmental	97,231	-	-	-	$ 143,099	-	-	-	200	240,530
Charges for services	-	-	$ 3,760	-	-	-	$ 21,575	25,519	-	50,854
Licenses, fees and permits	10,878	-	-	$ 10	-	-	-	-	-	10,888
Rental income	-	-	-	-	-	$ 5,400	-	-	-	5,400
Interest/dividends	1,200	-	-	-	-	-	291	-	-	1,492
Other miscellaneous	11,435	$ 175	-	-	10,705	-	11,017	5,340	3,279	41,952
Total receipts	586,012	175	3,760	10	153,804	5,400	32,884	32,226	4,979	819,250
DISBURSEMENTS:										
Salaries	27,583	142,720	13,238	-	35,136	3,763	8,784	57,826	43,415	332,466
Payroll taxes	2,526	10,747	1,013	-	2,607	-	652	4,424	3,484	25,453
Deferred compensation/benefits	1,995	1,952	-	-	2,882	-	720	-	-	7,549
Professional fees	33,758	-	-	-	5,025	-	-	-	-	38,783
Repairs and maintenance	1,608	9,297	2,654	-	11,584	9,805	26,264	15,892	6,406	83,510
Supplies	2,293	14,300	201	22	8,754	1,857	6,922	20,072	1,472	55,893
General insurance	20,207	11,225	2,488	-	7,031	-	4,256	3,567	6,946	55,719
Group insurance	-	1,070	-	-	13,641	-	-	-	-	14,710
Printing and advertising	4,880	-	-	-	-	-	-	-	-	4,880
Telephone and utilities	1,283	3,704	-	-	-	825	4,413	361	1,222	11,808
Dues/training	6,425	2,841	-	-	-	-	-	-	1,490	10,756
School district	720	-	-	-	-	-	-	-	-	720
Capital expenditures	5,995	4,104	-	-	25,268	3,500	122,678	4,037	10,526	176,107
Miscellaneous	13,629	7,067	904	1,028	14,978	300	-	5,005	4,067	46,977
Gas and oil	-	4,759	-	516	5,994	-	1,449	-	-	12,717
Rock, gravel, asphalt	-	-	-	-	52,428	-	-	-	-	52,428
LB 840	7,472	-	-	-	-	-	-	-	-	7,472
Books and periodicals	-	-	-	-	-	-	-	-	4,126	4,126
Total disbursements	130,372	213,786	20,496	1,566	185,327	20,050	176,139	111,184	83,153	942,073
OTHER FINANCING SOURCES :										
Grant/donation income	-	-	-	-	-	-	46,432	-	620	47,052
Transfers from other funds	105,128	-	-	-	-	-	-	-	-	105,128
NET CHANGES IN FUND BALANCE	$ 560,767	$ (213,610)	$ (16,736)	$ (1,556)	$ (31,523)	$ (14,650)	$ (96,823)	$ (78,958)	$ (77,554)	$ 29,356

See Notes to Supplementary Information

CITY OF LYONS, NEBRASKA
COMBINING SCHEDULE OF REVENUE, DISBURSEMENTS AND CHANGES
IN NET POSITION - PROPRIETARY FUNDS

FOR THE YEAR ENDED SEPTEMBER 30, 2025

	Electric	Gas	Water	Sewer	Garbage	Total
OPERATING REVENUE:						
Consumer sales	$ 865,077	$ 397,374	$ 286,809	$ 156,303	$ 132,030	$ 1,837,593
Other miscellaneous	2,186	1,000	12,000	-	-	15,186
Total operating revenue	867,263	398,374	298,809	156,303	132,030	1,852,779
PRODUCTION AND OPERATING COSTS:						
Production costs	579,628	284,976	10,899	15,176	-	890,681
Machinery and plant maintenance	11,641	3,275	8,077	24,542	-	47,535
Utilities	33,037	-	20,294	4,186	-	57,517
Purification testing and chemicals	-	-	13,311	1,884	-	15,195
Contracted services	-	-	-	-	110,408	110,408
Total production and operating	624,307	288,251	52,581	45,788	110,408	1,121,336
DISTRIBUTION COSTS:						
Labor	111,933	100,144	73,200	53,543	-	338,819
Line and maintenance	-	2,224	8,066	3,501	-	13,792
Total distribution	111,933	102,368	81,266	57,044	-	352,611
GENERAL AND ADMINISTRATIVE COSTS:						
Professional fees	4,360	3,317	2,180	4,045	-	13,902
Vehicle	6,057	2,079	3,072	2,673	-	13,882
Deferred compensation/benefits	10,767	9,017	6,631	4,197	-	30,611
Insurance - general	24,098	1,690	27,527	3,704	-	57,019
Insurance - group	45,697	35,736	23,770	11,921	-	117,124
Miscellaneous	21,721	20,568	18,912	4,580	-	65,781
Contracted services	3,789	774	774	-	-	5,338
Supplies - plant	10,180	10,182	-	-	-	20,362
Supplies - office	4,120	2,651	2,423	837	-	10,030
Payroll taxes	8,160	7,237	5,348	3,880	-	24,625
Telephone	2,131	1,604	1,490	-	-	5,224
Total general and administrative	141,080	94,855	92,126	35,837	-	363,898
Total costs	877,320	485,475	225,974	138,668	110,408	1,837,845
Operating income before depreciation	(10,057)	(87,100)	72,835	17,635	21,621	14,934
Depreciation	25,647	14,307	130,623	43,002	-	213,579
Operating income	(35,704)	(101,407)	(57,788)	(25,367)	21,621	(198,645)
Other income (expense):						
Interest income	56,383	-	-	-	-	56,383
Transfer to other funds	(105,128)	-	-	-	-	(105,128)
Interest expense and loan fees	-	-	(14,807)	(4,463)	-	(19,270)
Changes in Net Position	(84,449)	(101,407)	(72,595)	(29,830)	21,621	(266,659)
Net Position - Beginning of Year	83,458	2,324,510	921,708	348,347	324,044	4,002,068
Net Position - End of Year	$ (991)	$ 2,223,103	$ 849,113	$ 318,517	$ 345,665	$ 3,735,409

See Notes to Supplementary Information